and permission be accorded to return the seized documents to the concerned.'

The CBI report also mentioned in passing about 'certain lapses' on the part of the Kerala Police and the IB. On this, the investigating agency send separate confidential reports, one on the IB investigation to the Union Government and the other on the Special Investigation Team to the Kerala Government.

In the former, the CBI said the interrogation reports as recorded by the IB officers were incoherent and full of contradictions. It said the IB officers acted in an unprofessional manner. The report specifically mentioned the names of joint director Mathew John and deputy director R B Sreekumar for having 'failed' in their duty to conduct the inquiry in an objective and fair manner.

In its report on the Kerala Police officers, the CBI named S Vijayan, special branch inspector; K K Joshwa, DSP, Crime Branch CID; Siby Mathews, DIG, Crime. On Siby Mathews, the CBI report said: "It was unprofessional on his part to have ordered indiscriminate arrests of top ISRO scientists who played a key role in the successful launching of satellites … thereby caused avoidable mental and physical agony to them."

On 2 May 1996, the CJM, Ernakulam passed an order accepting the CBI report and discharging all the accused in the spy case. That was not the end of the case. E K Nayanar, who was sworn in as the Chief Minister on 20 May 1996, under pressure from state police officers Siby Mathews, K K Joshwa and S Vijayan, ordered further investigation. When the accused and the CBI challenged this, the Kerala High Court bench headed by Justice K G Balakrishnan gave a peculiar order that said it cannot quash the government order, but the state had no jurisdiction to file a chargesheet under the Official Secrets Act.

This meant that whatever the further investigation found would not hold good in a court. The accused and the CBI challenged this order in the Supreme Court. The ISRO spy case finally came to a logical end on 29 April 1998 when the Supreme Court quashed the Kerala Government's notification for further investigation.